MARKET COMMENTARY

Reflections on the European Debt Crisis

Predicting the Past

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The idea of a European crisis cannot be dismissed, nor can the idea of a euro currency crisis. The situation in Europe goes beyond Greece, which is not the only European country that can't pay its bills. The table below lists debt as a percentage of GDP for eight countries, including the US. According to this data, the percent of debt to GDP for the US is 52.9%, but that figure is calculated excluding borrowings from the Federal Social Security Trust, and other government trusts. It is excluded on the theory that, in extremis, the US government could arbitrarily change the rules surrounding Social Security; for example, it could be taxed or the benefits could be altered. Including the Social Security Administration debt brings the US debt to nearly 83% of its GDP. The US is the only country with such a distinction in the calculation of its debt.

Table 1: 2009 Debt as a Percentage of GDP

Portugal	75.2%
Spain	50.0%
Greece	113.4%
US	52.9%[1]
France	79.7%
Germany	77.2%
Italy	115.2%
UK	68.5%

Source: CIA World Fact Book

1) Excludes Social Security, which would add 30 percentage points to this figure

Market participants in sovereign debt are clearly concerned with these percentage levels. If these statistics were to rise significantly, it's conceivable that bond buyers might not fund amounts like this in the future. Debt for most countries has been increasing over the years. As an example, the table below lists French debt as a percent of French GDP from 1985 to 2009. This data clearly illustrates that France has been increasing its debt to GDP, but it is not alone in that practice. Countries are becoming increasingly indebted, and the market is not prepared to tolerate it.

Table 2: French Debt as a Percentage of GDP

1985	37.9%
1990	39.5%
1995	59.4%
2000	64.6%
2009	79.7%

Source: CIA World Fact Book

Table 3 provides data on deficit as a percent of 2009 GDP figures according to the OECD. Spain might not appear to be problematic given its debt to GDP ratio of 50% (Table 1), but with a deficit of 11.4% of GDP, it looks less stable. Ireland, which is already adhering to an austerity package, has a deficit that is 14.7%

of its GDP. Though many nations have high debt to GDP ratios, even for those that do not, it's a question of what that figure will become. The expectation is that they will undoubtedly worsen. That is one point of view.

Table 3: Deficit as a Percentage of GDP

Germany	5.5%
UK	12.7%
Spain	11.4%
Portugal	9.3%
Greece	12.7%
Italy	5.3%
Ireland	14.7%
France	8.2%

Source: OECD

Another way of looking at it is that these debt and deficit problems are not new to Europe. France had somewhat similar problems in the 1940s and 1950s. After the liberation of France at the end of the Second World War, the French franc was reestablished at the following levels: 480 French francs to the British pound and 119 to the US dollar. Those exchange rates should be taken as a measure of how serious the problem was. By 1950, the French franc had fallen even further, and by 1959, the French franc had depreciated to the level of 1,382 to the pound and 493 to the dollar. In 1960, the crisis became so severe that the old franc was replaced by a new franc at the rate of 100 old to one new. From that level, the depreciation problem continued, so that on January 1, 1999, the franc was replaced by the euro at one-eighth of its 1960 level.

Table 4: Historical Values of the French Franc

	Francs to the British Pound	Francs to the US Dollar
1946	480	119
1950	980	350
1959	1,382	493
1960	Old Franc Replaced with New Franc at 100 Old to 1 New	
1999	January 1: Franc replaced by Euro at 1/8 of its 1960 value	

Source: www.measuringworth.com

To contextualize the value of the French currency, during the 1950s France was embroiled in the Indochina War. That war culminated in the disaster at Dien Bien Phu, when the French army was surrounded and nearly wiped out. The French had to surrender to the communist forces and ultimately withdraw from Indochina. During the same period of time, the French were contending with the Algerian Crisis, which did not end until 1962. In addition, on May 13, 1958, the French army tried to overthrow the French government in a coup attempt. Shortly thereafter, General Charles de Gaulle became the President of France, an event which marked the end of the Fourth Republic. Under his leadership, the French constitution was rewritten to give much more authority to the president. One of the reasons for changing the constitution was to prevent further coup attempts. That goal, however, was not entirely successful, because there was another coup attempt in 1961, this time against de Gaulle. His support of Algerian independence was very unpopular with the military and the French settlers there.

By the end of the 1950s, France had attained some degree of economic progress. Believe it or not, at that time only 7.5% of French families had a refrigerator. In 1954, one third of all French households lacked running water. Given that set of circumstances, France was clearly not without its problems. Nevertheless, in 1979, a French economist by the name of Jean Fourastie wrote a book entitled *Les Trente Glorieuses* (Thirty Glorious Years), which describes the French economy from 1944 to 1973. In France, the book is considered a classic, because it looks back at the French economy during that period and reflects on how wonderful it was. It was also the time of the oil crisis (known as '*en pleine crise'* in France). Yet, Fourastie writes about how pleasant the French economic experience was during that period of time. In point of fact, according to his book, the French economy averaged, in real terms, 5% growth per annum from 1944 to 1973.

When we take the short-term view, we have a tendency to focus on events. Though events are very important, so are conditions that unfold at a much slower pace, which makes them less obvious. For example, a change in the value of a currency is an easily noted event, as is a change in the Volatility S&P 500 (VIX) value. Both are readily observable and are given ample attention. A change in the number of people who have refrigerators, however, happens over a much longer period of time. Such a development also has an impact on the economy but is not immediately observable. A look at contemporary newspaper articles written on the French economy during the 1950s demonstrates this phenomenon. It is virtually impossible to find a newspaper that does not contain articles about the devaluation of the French currency and of the various problems noted above. Those issues are obvious and easily observed. Nevertheless, the standard of living in France was rising throughout that entire time period, even given those problems. An interesting aspect of economic progress is that it does not happen in the absence of economic problems; it happens in spite of them. Unlike events, progress is difficult to measure in the short term, so events become the focus of media attention.

After looking at the currency devaluation and political events, one might be surprised to learn that, according to the book entitled *Triumph of the Optimists* by Dimson, Marsh and Staunton, the real return on French equities from 1950 to 1959 was 16.5% on an annualized basis. That return is not the absolute return; it is the *real* (that is, net of inflations) return. Bear in mind, these returns occurred during a period of time when there were attempts to overthrow the government. During that same period of time, the real rate of return on French bonds was 2.4% per annum. That return is remarkable given the declining currency and the military attempt to overthrow the government which, from a bond investor's point of view, is not a small problem.

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These return levels continued into the 1960s. According to Dimson, Marsh and Staunton, the real rate of return on equities from 1960 to 1969 was 8.3% per annum, which is lower than in the 1950s, but is sufficiently high to inspire Jean Fourastie to write about thirty glorious years. The real rate of return on bonds from 1960 to 1969 was 1.5% per annum.

This exercise should be regarded as a study in predicting the past. By looking at economic data from the past, we try to predict the future. The past is easy to know, because information on the historical returns of various asset classes is readily available. There is a plethora of available data on inflation, the standard of living in a given country, politics, military adventurism and relative currency valuations. The expectation is that the answer should be self-evident in terms of returns and asset classes, but it is not. Clearly, there are many more factors involved, one of which would be the expectation of market participants at the time.

Given the horrendous experiences of the quarter century previous to 1944, the expectation of the investment community for the market was very low. Conversely, the expectations of the investment community in 1973, the final year of Fourastie's analysis of the wonderful French economy during Les Trentes Glorieuses, were extraordinarily high. These observations illustrate why paying attention to value and market expectations is very important. When the market expects a grievous event, it may be right, but that event may already be reflected in the price. Therefore, price becomes an important determinant of what the return will be in the future—perhaps more important than the actual dreaded events.